NEXUS

Universal Collectibles Recognition & Management System

5-YEAR BUSINESS ANALYSIS

2026 - 2030

USPTO Provisional Patent Application #63/926,477

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EXECUTIVE SUMMARY

NEXUS represents a transformative opportunity in the $300+ billion global collectibles market. With patent-protected scanning technology, cross-industry AI learning, and a unified hardware/software ecosystem, NEXUS is positioned to become the dominant platform for collectibles management.

Key Investment Highlights

- Patent-protected technology with 20-year exclusivity (30 claims filed)
- $300B+ Total Addressable Market across 16 collectible categories
- No dominant competitor - highly fragmented market
- Hardware moat creates high switching costs and recurring revenue
- Network effects: More users = Better AI = More value
- 5-Year Revenue Target: $901M ARR with path to $1B+
- Exit Valuation: $5.4B - $7.2B (6-8x revenue multiple)

5-Year Financial Summary

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	$8.2M	$47.3M	$156.8M	$412.5M	$901.2M
Gross Margin	68%	72%	75%	78%	80%
EBITDA	-$4.1M	$2.8M	$31.4M	$103.1M	$270.4M
EBITDA Margin	-50%	6%	20%	25%	30%
Customers (B2B)	500	2,800	8,500	18,000	32,000
Subscribers (B2C)	5,000	45,000	180,000	520,000	1,200,000

MARKET OPPORTUNITY

The global collectibles market represents one of the largest underserved technology opportunities. Despite $300+ billion in annual transactions, no dominant software platform exists for inventory management, pricing intelligence, or customer relationship management.

Total Addressable Market by Category

Category	Market Size	Growth Rate	Key Players
Trading Card Games	$22.0B	12% CAGR	MTG, Pokemon, Yu-Gi-Oh
Sports Memorabilia	$38.6B	22% CAGR	Autographs, Game-Used
Coins & Currency	$43.0B	8% CAGR	Rare coins, Bullion
Action Figures & Toys	$22.9B	9% CAGR	Vintage, Modern collectibles
Entertainment Memorabilia	$12.0B	15% CAGR	Movie props, Autographs
LEGO & Building Sets	$9.5B	11% CAGR	Retired sets, Minifigures
Video Games (Retro)	$5.7B	18% CAGR	Sealed games, CIB
Stamps	$5.7B	3% CAGR	Rare stamps, Collections
Comics	$4.9B	10% CAGR	Key issues, Graded
Model Kits & Gundam	$4.2B	14% CAGR	Gunpla, Scale models
Diecast Vehicles	$3.9B	7% CAGR	Hot Wheels, Premium
Vinyl Records	$3.4B	12% CAGR	First pressings, Rare
Model Trains	$1.9B	4% CAGR	HO, N, O scale
Historical Memorabilia	$2.5B	6% CAGR	Documents, Military
Other Collectibles	$120.0B	8% CAGR	Art, Antiques, Wine

Total Addressable Market: $300.2 Billion

Serviceable Addressable Market (SAM): $180 Billion (categories with clear scanning use case)

Serviceable Obtainable Market (SOM) Year 5: $4.5 Billion (0.5% market penetration)

COMPETITIVE LANDSCAPE

The collectibles management market is highly fragmented with no dominant player. Current solutions are either category-specific, lack hardware integration, or offer poor accuracy. NEXUS enters as the first universal platform with patent-protected technology.

Competitive Analysis

Competitor	Category	Scanning	Accuracy	AI Learning	Hardware
NEXUS	Universal (16+)	Yes	99%+	Cross-Industry	Professional + Consumer
TCGPlayer	TCG Only	No	N/A	No	None
Deckbox.org	MTG Only	No	N/A	No	None
DelverLens	MTG/Pokemon	Phone	60-70%	No	Phone Only
CollX	Sports Cards	Phone	65-75%	Limited	Phone Only
Cardmarket	TCG (EU)	No	N/A	No	None
Square/Shopify	Generic POS	Barcode	N/A	No	Generic
PSA/CGC	Grading Only	Manual	N/A	No	None

NEXUS Competitive Advantages

1. Patent Protection: 30 claims covering scanning protocol, AI learning, and hardware integration
2. 99%+ Accuracy: Multi-region scanning protocol vs 60-70% phone-based competitors
3. Cross-Industry AI: Learning from one category improves all categories automatically
4. Hardware Moat: $2,500-$5,000 professional scanners create high switching costs
5. Network Effects: More shops = More data = Better AI = More value for everyone
6. Universal Platform: One system for 16+ categories vs siloed competitors
7. Bulletproof Reliability: 99.9% uptime vs frequent crashes in competing apps

BUSINESS MODEL

NEXUS employs a multi-revenue stream model combining hardware sales, software subscriptions, transaction fees, and premium services. This diversified approach ensures predictable recurring revenue while capturing value across the entire collectibles ecosystem.

Revenue Streams

1. B2B Professional Solutions (Retail Shops)

Product	Price	Margin	Target Market
Professional Scanner (Hardware)	$2,500 - $5,000	45%	200,000 retail shops
Shop Management Software (SaaS)	$99 - $499/month	85%	Active scanner customers
API Access (Enterprise)	$999 - $2,499/month	90%	Marketplaces, Auction houses
AI Grading Service	$2 - $5 per item	75%	Pre-submission screening
Marketplace Transaction Fee	4% - 8%	95%	B2B trading platform

2. B2C Consumer Solutions (Collectors)

Product	Price	Margin	Target Market
Consumer Handheld Scanner	$199 - $299	40%	50M+ collectors worldwide
Collector App Subscription	$9.99 - $19.99/month	90%	Active scanner users
Consumer Marketplace Fee	8% - 10%	95%	Peer-to-peer trading
Premium Features (Insurance, etc.)	$4.99 - $14.99/month	85%	High-value collectors

3. Data & Services

Product	Price	Margin	Target Market
Pricing Data API	$499 - $1,999/month	95%	Apps, Websites, Research
Market Intelligence Reports	$99 - $499/report	90%	Investors, Analysts
White-Label Solutions	$10K - $50K setup + rev share	70%	Large retailers, Franchises

5-YEAR FINANCIAL PROJECTIONS

Revenue Projections

Revenue Stream	Year 1	Year 2	Year 3	Year 4	Year 5
B2B Hardware Sales	$1.25M	$4.90M	$12.75M	$27.00M	$48.00M
B2B Software Subscriptions	$1.50M	$10.80M	$40.80M	$108.00M	$230.40M
B2C Hardware Sales	$0.75M	$6.75M	$27.00M	$78.00M	$180.00M
B2C Subscriptions	$0.60M	$5.40M	$21.60M	$62.40M	$144.00M
Marketplace Transaction Fees	$0.50M	$4.50M	$18.00M	$54.00M	$126.00M
API & Data Services	$0.20M	$1.80M	$7.20M	$21.60M	$50.40M
AI Grading Services	$0.10M	$0.90M	$3.60M	$10.80M	$25.20M
Enterprise & White-Label	$0.30M	$2.70M	$10.80M	$32.40M	$75.60M
Other Services	$1.00M	$9.55M	$15.05M	$18.30M	$21.60M
TOTAL REVENUE	$8.20M	$47.30M	$156.80M	$412.50M	$901.20M

Key Growth Metrics

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
B2B Customers (Shops)	500	2,800	8,500	18,000	32,000
B2C Subscribers	5,000	45,000	180,000	520,000	1,200,000
Professional Scanners Sold	500	1,400	3,100	5,700	8,400
Consumer Scanners Sold	3,000	27,000	108,000	312,000	720,000
Monthly Active Users	8,000	72,000	288,000	832,000	1,920,000
Items Scanned (Cumulative)	2M	25M	150M	500M	1.2B
YoY Revenue Growth	-	477%	232%	163%	118%
Net Revenue Retention	-	125%	130%	128%	125%

Profitability Analysis

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	$8.2M	$47.3M	$156.8M	$412.5M	$901.2M
Cost of Revenue	$2.6M	$13.2M	$39.2M	$90.8M	$180.2M
Gross Profit	$5.6M	$34.1M	$117.6M	$321.7M	$721.0M
Gross Margin	68%	72%	75%	78%	80%
R&D	$4.5M	$12.0M	$31.4M	$66.0M	$117.2M
Sales & Marketing	$3.5M	$14.2M	$39.2M	$90.8M	$198.3M
General & Admin	$1.7M	$5.1M	$15.6M	$61.8M	$135.1M
Total Operating Expenses	$9.7M	$31.3M	$86.2M	$218.6M	$450.6M
Operating Income (EBIT)	-$4.1M	$2.8M	$31.4M	$103.1M	$270.4M
EBIT Margin	-50%	6%	20%	25%	30%
D&A	$0.3M	$1.2M	$4.7M	$12.4M	$27.0M
EBITDA	-$3.8M	$4.0M	$36.1M	$115.5M	$297.4M
EBITDA Margin	-46%	8%	23%	28%	33%

Unit Economics

Metric	B2B (Shop)	B2C (Collector)
Customer Acquisition Cost (CAC)	$850	$45
Lifetime Value (LTV)	$12,500	$420
LTV:CAC Ratio	14.7x	9.3x
Payback Period	4 months	5 months
Annual Contract Value (ACV)	$3,600	$156
Monthly Churn Rate	1.5%	3.0%
Net Revenue Retention	125%	110%
Gross Margin	78%	82%

FUNDING REQUIREMENTS

NEXUS requires strategic capital infusion to accelerate market capture, complete patent prosecution, scale manufacturing, and build the engineering team necessary to maintain technological leadership.

Funding Rounds

Round	Amount	Timing	Pre-Money Valuation	Primary Use
Seed	$2.5M	Q1 2026	$8M	Patent prosecution, MVP, Initial hires
Series A	$15M	Q4 2026	$50M	Product launch, Sales team, Manufacturing
Series B	$50M	Q3 2027	$200M	Scale operations, International expansion
Series C	$100M	Q2 2028	$600M	Market dominance, Acquisitions
Series D / Pre-IPO	$150M	Q1 2029	$1.5B	IPO preparation, Global expansion

Use of Funds - Seed Round ($2.5M)

Category	Amount	Percentage	Details
Patent Prosecution	$400K	16%	Non-provisional filing, International PCT
Engineering Team	$800K	32%	4 senior engineers (12 months)
Hardware Development	$500K	20%	Scanner prototypes, Manufacturing setup
Software Development	$400K	16%	Cloud infrastructure, Mobile apps
Marketing & Sales	$250K	10%	Beta program, Trade shows
Operations & Legal	$150K	6%	Office, Insurance, Compliance

Key Milestones by Funding Stage

- Seed: File non-provisional patent, Launch beta with 50 shops, Prove 99%+ accuracy
- Series A: 500 paying B2B customers, Consumer scanner launch, $8M ARR
- Series B: 3,000 B2B customers, 50K B2C subscribers, International launch, $50M ARR
- Series C: Market leader position, 10K B2B customers, 200K B2C subscribers, $150M ARR
- Series D: IPO-ready metrics, 25K B2B customers, 750K B2C subscribers, $400M ARR

GO-TO-MARKET STRATEGY

Phase 1: Foundation (Year 1)

- Target: 500 early-adopter shops in US trading card market
- Focus: Magic: The Gathering and Pokemon dealers (highest volume, tech-savvy)
- Strategy: Direct sales, Trade show presence (MagicCon, PAX, GAMA)
- Beta program with 50 flagship shops for testimonials and case studies
- Launch consumer scanner pre-orders Q4 2026

Phase 2: Expansion (Years 2-3)

- Expand to sports cards, comics, and coins markets
- Launch consumer handheld scanner ($199-$299)
- Build channel partnerships (distributors, franchise groups)
- International expansion: UK, EU, Japan, Australia
- Launch NEXUS Marketplace for B2B trading

Phase 3: Dominance (Years 4-5)

- Full category coverage: memorabilia, LEGO, models, vinyl, etc.
- Enterprise partnerships with major auction houses and retailers
- Launch NEXUS Grading Services (compete with PSA/CGC)
- White-label solutions for large retail chains
- Prepare for IPO or strategic acquisition

Customer Acquisition Channels

Channel	Year 1 Mix	Year 5 Mix	CAC	Conversion
Direct Sales (B2B)	40%	20%	$1,200	15%
Trade Shows & Events	25%	10%	$800	20%
Partner/Referral	15%	35%	$400	25%
Digital Marketing	10%	20%	$600	8%
Content/Inbound	10%	15%	$300	5%

RISK ANALYSIS

Key Risks & Mitigations

Risk	Probability	Impact	Mitigation Strategy
Patent rejection/challenge	Medium	High	Strong prior art search, experienced IP counsel, continuation strategy
Large competitor entry (Amazon, eBay)	Medium	High	First-mover advantage, patent protection, network effects moat
Hardware manufacturing delays	Medium	Medium	Multiple supplier relationships, US-based backup manufacturing
AI accuracy below targets	Low	High	Extensive training data, human-in-loop fallback, continuous learning
Market adoption slower than projected	Medium	Medium	Lean operations, adjust pricing, focus on highest-value segments
Key employee departure	Medium	Medium	Competitive compensation, equity incentives, documentation
Economic downturn affecting collectibles	Low	Medium	Collectibles historically resilient, diversified category coverage
Cybersecurity/data breach	Low	High	SOC 2 compliance, encryption, regular audits, insurance

Sensitivity Analysis - Year 5 Revenue

Scenario	B2B Customers	B2C Subscribers	Revenue	EBITDA
Bear Case (-30%)	22,400	840,000	$630.8M	$157.7M
Base Case	32,000	1,200,000	$901.2M	$297.4M
Bull Case (+30%)	41,600	1,560,000	$1,171.6M	$433.9M

EXIT OPPORTUNITIES

NEXUS presents multiple attractive exit pathways for investors, with valuations supported by comparable transactions in the collectibles, SaaS, and marketplace sectors.

Valuation Analysis

Method	Multiple	Year 5 Metric	Implied Valuation
Revenue Multiple (SaaS)	6-8x	$901M Revenue	$5.4B - $7.2B
EBITDA Multiple	15-20x	$297M EBITDA	$4.5B - $5.9B
Comparable Transactions	7-10x	$901M Revenue	$6.3B - $9.0B
DCF Analysis (15% discount)	-	5-year FCF	$4.8B - $6.2B

Comparable Transactions

Company	Acquirer	Value	Revenue	Multiple
TCGPlayer (2022)	eBay	$295M	$40M	7.4x
PWCC Marketplace (2021)	Private	$100M+	$15M	6.7x
Collectors Universe (2021)	Nat Equity Partners	$700M	$100M	7.0x
Fanatics (2023 valuation)	-	$31B	$6B	5.2x
StockX (2021 valuation)	-	$3.8B	$400M	9.5x

Potential Acquirers

- eBay: Already acquired TCGPlayer, seeking collectibles dominance
- Amazon: Expanding collectibles category, needs authentication technology
- Fanatics: Trading cards expansion, seeking technology platform
- Collectors Holdings (PSA parent): Vertical integration play
- Private Equity: KKR, Blackstone, Vista (interested in recurring revenue)

IPO Pathway

NEXUS targets IPO readiness by Year 5 with the following metrics:

- $900M+ ARR with 80%+ gross margins
- 30%+ EBITDA margins demonstrating path to profitability
- 100%+ YoY growth rate in preceding years

- Clear market leadership position with defensible moats
- SOC 2 Type II, GDPR, and full regulatory compliance

TEAM & OPERATIONS

Current Team

Kevin Caracozza - Founder & CEO

Technical visionary with deep expertise in computer vision, AI/ML, and hardware integration. Developed core scanning technology and patent portfolio. Background in software development and collectibles industry.

Hiring Plan

Role	Year 1	Year 2	Year 3	Year 4	Year 5
Engineering	6	18	45	90	150
Sales & Marketing	4	15	40	85	140
Customer Success	2	8	25	55	95
Operations	2	6	15	35	60
G&A (Finance, HR, Legal)	2	5	12	25	40
Executive Team	2	4	6	8	10
TOTAL HEADCOUNT	18	56	143	298	495

Key Hires - Year 1

- VP Engineering: Lead technical team, architecture decisions
- VP Sales: Build B2B sales organization, enterprise relationships
- Head of Hardware: Scanner manufacturing, supply chain
- Head of AI/ML: Computer vision, recognition algorithms
- CFO: Financial planning, fundraising support

INVESTMENT THESIS

NEXUS represents a rare opportunity to invest in a patent-protected technology platform addressing a $300+ billion market with no dominant incumbent. The combination of hardware moats, network effects, and cross-industry AI learning creates sustainable competitive advantages that compound over time.

Why NEXUS Wins

8. Massive Market: $300B+ TAM with clear pain points and willingness to pay
9. No Competition: Fragmented market with no dominant player to displace
10. Patent Protection: 30 claims covering core technology for 20 years
11. Hardware Moat: High switching costs create sticky customer relationships
12. Network Effects: More users = Better AI = More value (winner-take-most)
13. Multiple Revenue Streams: Hardware + SaaS + Marketplace + Data = Diversified
14. Proven Technology: 99%+ accuracy demonstrated in production environment
15. Clear Exit Path: Strategic acquirers active in space + IPO optionality

Investment Summary

Metric	Value
Seed Round	$2.5M at $8M pre-money
Use of Funds	Patent, Engineering, Hardware, Go-to-Market
Year 5 Revenue Target	$901M ARR
Year 5 EBITDA Target	$297M (33% margin)
Target Exit Valuation	$5.4B - $7.2B
Target Exit Multiple	6-8x Revenue
Target IRR	65-85% (5-year hold)

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